

Practice Quiz: Organizational Systems — Module 05:

Action

Name: ____ Date: ____

Part A: Multiple Choice

1. **Active inference** in an organizational context means: A) Thinking about what to do B) Changing the external environment to match the organization's predictions C) Collecting market data D) Writing a strategic plan
2. **Epistemic action** (exploration) differs from **pragmatic action** (exploitation) in that: A) Epistemic action costs more B) Epistemic action's primary goal is to reduce uncertainty, not achieve a known objective C) Pragmatic action is always better D) Epistemic action doesn't produce any results
3. AWS began as an epistemic action and transitioned to pragmatic action. This transition occurred when: A) Amazon ran out of ideas B) Sufficient uncertainty was resolved to justify large-scale investment in the validated model C) The CEO changed his mind D) Competitors copied the idea
4. **Expected free energy (EFE)** combines: A) Revenue and cost B) Pragmatic value (goal achievement) and epistemic value (uncertainty reduction) C) Risk and return D) Supply and demand
5. An execution failure where the organization continued a strategy despite negative signals is best diagnosed as: A) Bad luck B) High precision on the plan (prior) with low precision on feedback (sensory evidence) C) Insufficient budget D) Competitor sabotage
6. **Pure exploitation** (only doing what has worked before) is risky because: A) It is boring B) The organization becomes optimally adapted to a specific environment, but fragile if that environment changes C) It costs too much D) Employees become too skilled

7. The exploitation-exploration trade-off is fundamentally about: A) Hiring strategy B) Allocating organizational effort between leveraging proven models and developing new ones C) Budget cuts D) Time management
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Part B: Short Analysis

1. Your company has three strategic options: (A) expand the core product into three new geographies, (B) acquire a small company in an adjacent market, (C) invest in a radically new technology platform. Evaluate each using the pragmatic value + epistemic value framework. Which has the highest expected free energy (worst)? Which has the lowest (best)? Defend your reasoning.
2. A pharmaceutical company spends 90% of its R&D budget on incremental improvements to existing drugs (exploitation) and 10% on exploratory research into novel mechanisms (exploration). The CEO wants to shift to 70/30. Using the Active Inference framework, design the transition: What epistemic actions should the additional 20% fund? How would you measure their value when they may take years to produce results?
3. Your organization's annual strategic plan was finalized in January. By June, a major competitor has launched a disruptive product. Your leadership is debating: "Stick to the plan" vs. "Pivot immediately." Frame this debate in Active Inference terms and propose a structured decision process.